14 Oct 2026 06:43:51 ET | 20 pages

Microsoft Corp. (MSFT.O)

Expecting Another Bend In The CoPilot + Azure Growth Curves

CITI'S TAKE

We reiterate our Buy rating on Microsoft and raise our target price to $636 (~23x FY29 PE). Our recent CIO survey and reseller work reinforce our positive view that Microsoft's core productivity and public cloud franchise should accelerate as enterprises ramp up AI spending. CIO budgets improved sequentially led primarily by the U.S., while public cloud spending intentions accelerated, and Microsoft remained the clear leader among best positioned AI vendors. Combined with encouraging reseller feedback, which indicated accelerating growth and strong CoPilot/early E7 uptake, we believe Microsoft is increasingly emerging as the primary platform beneficiary of enterprise AI spending. We look for upside and acceleration growth both in Azure and Copilot in both seats and consumption.

Reseller Largely Positive; M365 Gains AI Mindshare — Resellers highlighted a 5pt q/q uptick in NTM sales growth to 16% with Azure consumption/M365 adoption up 4pts/7pts from June. Azure AI/ML and M365 Seat Growth + Copilot were the top reseller growth drivers. Our CIO survey also showed improving IT budgets with MSFT as a key AI beneficiary. A F500 partner noted of 20%+ ACV growth in the Q and saw some adoption of E7 and stronger M365 Copilot usage.

Expecting Upside to Azure & Copilot in FQ1 — We see room for another solid Azure beat (~2pts), potentially implying another acceleration to 46-47%YoYcc as MSFT continues to find efficiencies and bring on capacity. While this is smaller than last Q beat of 3-4pts, that was helped by GitHub upside, now in M365 CC. We expect greater than typical upside in M365 Commercial, driven by strong Copilot net adds (+9M) and ramping consumption along with GH upside. We see Devices & Consumer to be at the lower end reflecting ongoing changes with XBOX and Windows. We expect F2Q27 Azure guide of ~45-46%cc and Capex guide of $60B+. FY27 CapEx should edge higher where CitiE at $237B 63%YoY vs Street's $220B.

Updating Model FY27 Segment Changes; Raising Azure & CoPilot Ests — Our updated model reflects new FY27 segments while retaining granularity for Azure AI (we estimate contributing ~25pts of growth). We expect Azure exiting F4Q at 48%+. We also raise our M365 Commercial Cloud estimate to ~17.3% in F1Q, and expect a steady QoQ acceleration through FY27, exiting around 19.5% YoY, driven by Copilot and new consumption pricing. These changes increase our topline and bottom-line trajectory which further raises our TP to $636.

EPS (US$)	Q1	Q2	Q3	Q4	FY	FC Cons	VA Cons
2026A	4.13A	4.14A	4.27A	4.81A	17.34A	17.28A	17.28A
2027E	**4.81E**	**4.91E**	**4.98E**	**5.29E**	**20.00E**	**19.73E**	**19.74E**
Previous	4.80E	4.89E	4.87E	5.12E	19.68E	na	na
2028E	**5.69E**	**5.86E**	**6.03E**	**6.46E**	**24.04E**	**23.49E**	**23.50E**
Previous	5.51E	5.77E	5.92E	6.41E	23.61E	na	na
2029E	**7.07E**	**7.31E**	**7.61E**	**8.18E**	**30.16E**	**28.76E**	**28.56E**
Previous	6.91E	7.31E	7.57E	8.25E	30.03E	na	na

Source: Company Reports and dataCentral, Citi Research. FC Cons: First Call Consensus. VA Cons: Visible Alpha Consensus.

Click here for Visible Alpha consensus data

Buy

Price (13 Oct 26 16:00)	US$543.45
Target price	US$636.00↑
from US$600.00	
Expected share price return	17.0%
Expected dividend yield	0.7%
Expected total return	17.7%
Market Cap	US$4,035,413M

Price Performance
(RIC: MSFT.O, BB: MSFT US)



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MSFT.O: Fiscal year end 30-Jun

Price: US$543.45; TP: US$636.00; Market Cap: US$4,035,413m; Recomm: Buy

Profit & Loss (US$m)	2025	2026	2027E	2028E	2029E
Sales revenue	281,724	331,839	394,989	489,323	620,426
Cost of sales	-87,831	-106,374	-133,375	-176,677	-232,332
Gross profit	193,893	225,465	261,613	312,647	388,094
Gross Margin (%)	68.8	67.9	66.2	63.9	62.6
EBITDA (Adj)	**162,681**	**198,685**	**237,949**	**303,215**	**396,545**
EBITDA Margin (Adj) (%)	57.7	59.9	60.2	62.0	63.9
Depreciation	-34,153	-43,448	-52,904	-78,443	-113,330
Amortisation	0	0	0	0	0
EBIT (Adj)	**128,528**	**155,237**	**185,045**	**224,772**	**283,214**
EBIT Margin (Adj) (%)	45.6	46.8	46.8	45.9	45.6
Net interest	262	250	-1,365	-2,721	-2,683
Associates	0	0	0	0	0
Non-Op/Except/Other Adj	-5,163	10,447	-9,079	-5,585	-200
Pre-tax profit	**123,627**	**165,934**	**174,601**	**216,465**	**280,331**
Tax	-21,795	-32,185	-34,920	-43,293	-56,066
Extraord./Min.Int./Pref.div.	0	0	0	0	0
Reported net profit	**101,832**	**133,749**	**139,681**	**173,172**	**224,265**
Net Margin (%)	36.1	40.3	35.4	35.4	36.1
Core NPAT	102,355	129,235	148,760	178,757	224,265

Per share data	2025	2026	2027E	2028E	2029E
Reported EPS ($)	13.64	17.95	18.78	23.29	30.16
Core EPS ($)	13.71	17.34	20.00	24.04	30.16
DPS ($)	3.32	3.64	4.00	4.40	4.84
CFPS ($)	18.24	24.54	29.08	39.80	49.12
FCFPS ($)	9.59	8.99	1.35	4.50	7.74
BVPS ($)	46.21	59.55	74.21	93.46	119.78
Wtd avg ord shares (m)	7,433	7,429	7,423	7,420	7,420
Wtd avg diluted shares (m)	7,465	7,453	7,439	7,436	7,436

Growth rates	2025	2026	2027E	2028E	2029E
Sales revenue (%)	14.9	17.8	19.0	23.9	26.8
EBIT (Adj) (%)	17.4	20.8	19.2	21.5	26.0
Core NPAT (%)	16.1	26.3	15.1	20.2	25.5
Core EPS (%)	16.2	26.5	15.3	20.2	25.5

Balance Sheet (US$m)	2025	2026	2027E	2028E	2029E
Cash & cash equiv.	94,565	76,843	45,935	30,511	35,942
Accounts receivables	69,905	80,876	81,162	107,249	152,982
Inventory	938	1,397	835	877	815
Net fixed & other tangibles	270,354	376,058	538,825	734,919	945,423
Goodwill & intangibles	142,113	138,260	135,163	133,022	131,078
Financial & other assets	41,128	84,942	95,302	110,228	130,538
Total assets	**619,003**	**758,376**	**897,222**	**1,116,806**	**1,396,778**
Accounts payable	27,724	42,416	39,113	57,984	62,823
Short-term debt	2,999	9,227	14,227	14,227	14,227
Long-term debt	40,152	31,067	31,067	31,067	31,067
Provisions & other liab	204,649	233,279	261,919	320,068	399,914
Total liabilities	**275,524**	**315,989**	**346,326**	**423,346**	**508,031**
Shareholders' equity	343,479	442,387	550,896	693,460	888,747
Minority interests	0	0	0	0	0
Total equity	**343,479**	**442,387**	**550,896**	**693,460**	**888,747**
Net debt (Adj)	**-51,414**	**-36,549**	**-641**	**14,783**	**9,352**
Net debt to equity (Adj) (%)	-15.0	-8.3	-0.1	2.1	1.1

Valuation ratios	2025	2026	2027E	2028E	2029E
PE (x)	39.6	31.3	27.2	22.6	18.0
PB (x)	11.8	9.1	7.3	5.8	4.5
EV/EBITDA (x)	24.5	20.0	16.7	13.2	10.1
FCF yield (%)	1.8	1.7	0.2	0.8	1.4
Dividend yield (%)	0.6	0.7	0.7	0.8	0.9
Payout ratio (%)	24	21	20	18	16
ROE (%)	33.3	34.0	28.1	27.8	28.3

Cashflow (US$m)	2025	2026	2027E	2028E	2029E
EBITDA	162,681	198,685	237,949	303,215	396,545
Working capital	-5,312	-25,448	4,380	1,928	-30,078
Other	-21,207	9,698	-26,006	-9,207	-1,216
Operating cashflow	**136,162**	**182,935**	**216,323**	**295,936**	**365,250**
Capex	-64,551	-115,948	-206,301	-262,477	-307,671
Net acq/disposals	-5,978	-1,743	0	0	0
Other	-2,070	-21,809	23,181	11,569	-4,074
Investing cashflow	**-72,599**	**-139,500**	**-183,120**	**-250,909**	**-311,745**
Dividends paid	-24,082	-26,445	-29,693	-32,648	-35,911
Financing cashflow	**-51,699**	**-52,546**	**-40,929**	**-48,884**	**-52,147**
Net change in cash	**11,927**	**-9,307**	**-7,727**	**-3,856**	**1,358**
Free cashflow to s/holders	**71,611**	**66,987**	**10,022**	**33,459**	**57,579**

For definitions of the items in this table, please click here.

Resellers, Channel Checks & Conference Takeaways

Intra-Q, we conducted our Reseller Survey (N=28) in Collaboration with Citi Research Innovation lab and caught up with a few channels partners/ SIs to gauge customer spending trends on MSFT and AI. Our reseller checks revealed an increasingly bullish outlook on NTM growth, up 5pts from F4Q to 16.2% y/y. LTM reseller sales growth was down 1.6pts sequentially to 11.3% y/y which may suggest some deal slippage out of F1Q. Our partner checks, however, reiterated strength for MSFT with more customers starting to widen their AI usage, notably with M365 Copilot. This showed up in our reseller survey as well with respondents seeing a 7pt uptick q/q in M365 Copilot adoption to 86%, as well as a 4pt rise in Azure Consumption to 45%. Together, Azure AI/ML Services and M365 Seat Growth + Copilot were tied as the number one growth drivers for reseller business over the NTM.

Links to our latest MSFT notes are below, including the Sept. Q reseller survey, C3Q CIO survey, and our recap of our session hosting MSFT at the Citi TMT Conference:

- US Software: Microsoft F'1Q27 Reseller Survey Points to Stronger NTM Growth
- Global Technology & Communications - Citi CIO Survey: IT Budgets Improve; AI Continues To Gain Wallet Share
- Microsoft Corp. (MSFT.O): Day 3 – Microsoft – Citi Global TMT Conference Takeaways
- Microsoft Corp. (MSFT.O) - Segment Reporting Change Should Drive Better Azure Transparency
- US Internet and Software: 2Q26 Cloud Compare: Revenues Accelerate Amid Rising Capex Tide

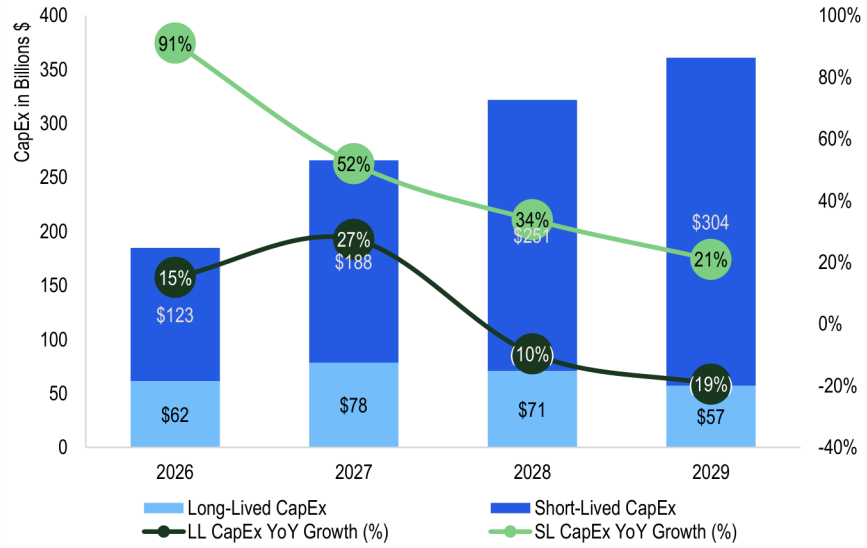
Figure 1. Reseller Survey Summary

Survey Findings	Investment Impact	Comments
MSFT resellers' LTM and NTM growth showed a mild slowdown by 0.5pt and ~1pt respectively vs. Sep-25 survey	Mixed	Both LTM and NTM expectations moderately declined QoQ, but look to maintain DD% growth + relatively stable NTM growth which could be impacted by higher onprem/hardware mixed
24% of resellers beat their quota in September survey, with ~27% of respondents closing below quarterly quota targets	Mixed	Consistent number of resellers reported exceeding quota (24% Dec '25 and Sep '25); but a noticeable uptick in resellers missing quota could mean still pocket of weakness
Azure Service Consumption remains the #1 driver of MSFT resellers' growth over the NTM, followed by Azure AI/ML Services then Security	Positive	Emphasizes growth driven by AI monetization strategies and broad-based product strength
% of resellers' customers base consuming Azure capacity remains relatively in line with last quarter (46% Dec '25 vs 47% Sep '25)	Mixed	Slight decline in the percentage of consumers consuming Azure capacity which could be impacted by higher mix of onprem/hardware resellers
% of resellers' customer base with a 365-license decreased slightly to 78% vs. 82% in the last survey, with E5 mix declining 2pts	Positive	M365 mixed largely stables despite reseller mix, especially in E3/ E5
% of resellers reporting an increase in licensing activity into end-of-support dates and expect this to negatively impact MSFT business over NTM increased to 27% vs. 25% last Q	Mixed	Concern that customers buying extended support, rather than actively moving to MSFT's newer products/services

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Source: Citi Research

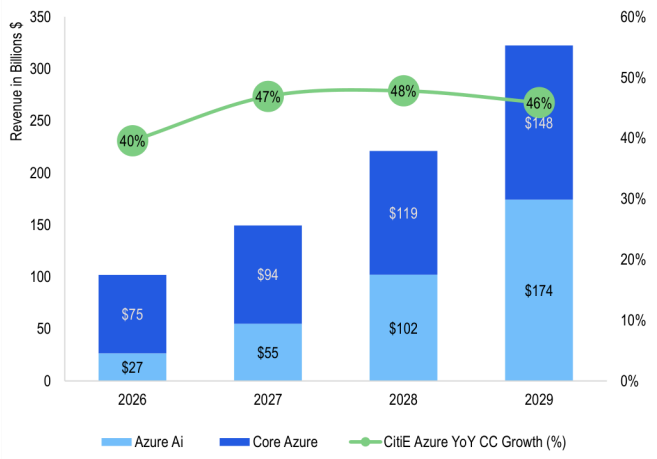
Figure 2. CitiE Microsoft CapEx Trajectory



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Source: Citi Research

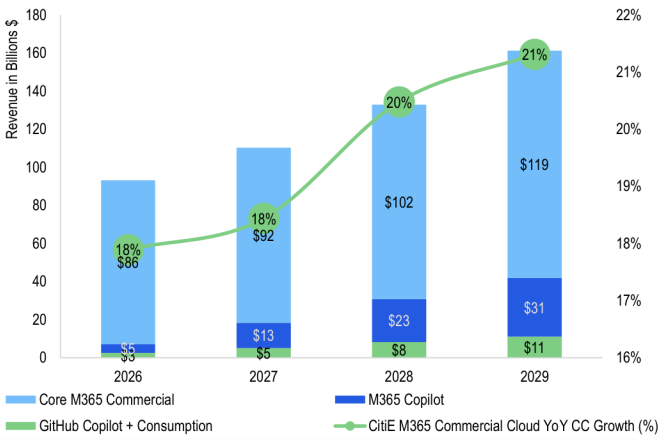
Figure 3. CitiE Azure Growth Trajectory



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Source: Citi Research

Figure 4. CitiE M365 Commercial Cloud Growth Trajectory



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Source: Citi Research

Updating Our Model for FY27 Segment Changes

Following Microsoft's FY27 segment reporting changes, we are rebuilding our model around the new Agents & Infrastructure and Devices & Consumer segments, replacing our prior PBP, IC, and MPC framework. The revised disclosure provides greater transparency into key growth drivers, including a standalone Azure revenue breakout and improved visibility into Copilot adoption across both Microsoft 365 and GitHub within Commercial Cloud.

Overall, we remain confident in Azure's AI-driven infrastructure buildout and continue to expect growth to accelerate sequentially to ~45-46% YoY CC in F1Q27. We forecast Azure growth to continue accelerating through FY27 to approximately 48%, ahead of Street expectations of ~40% YoY. Our more constructive Azure outlook is supported by a higher CapEx trajectory over the next several years, coupled with strong booking trends in recent quarters. As a result, our Azure revenue estimates throughout FY29 remain approximately 3-6pts above consensus expectations.

For Agents and Infras, we are raising our near-term F1Q/F2027 Commercial Cloud estimate given the lapping of accounting headwinds and stronger Copilot tailwinds including latest offering of Copilot Home, Code and Autopilot. Following the headwinds, we expect a relatively consistent acceleration driven by Copilot adoption, where we could see adoption penetration of ~20% of M365 base by FY27 and E7 pricing tailwinds. We increase our M365 Commercial Cloud to show continued acceleration QoQ through FY27 with exit rate of 19%+.

For Devices and Consumer, other than the incremental move of LinkedIn Marketing solutions into Search and Advertising, the segment is largely unchanged. We are keeping our Xbox estimates conservatives at HSD decline giving the ongoing changes, offsetting a slight uptick in PC expectations in the latest Citi PC model for CY26/27 where our Hardware Analyst Asiya Merchant recently raised it by ~5 pts for CY26 and 1pt for CY27 growth.

On profitability, our OPM% is moving slightly higher driven by lower OpEx growth from the RiFs offsetting the increasing Azure mix which sees higher gross margin compression, where we model YoY growth of only mid to high SD%. Our FY27 Non-GAAP EPS moves higher to $20.00 driven by margin expansions. Owing to these changes, we raise our target price to $636 (+6% vs prior TP of $600) now based on ~23x FY29 PE (vs ~26x PE on FY28 GAAP EPS earlier).

Figure 5. MSFT F'1Q27 Estimate Changes vs Updated Guidance & Consensus

Financial Metrics	Citi (Before)	Citi (After)	Citi % Change	Consensus	CitiE vs. Cons.	Updated Guidance	Comments:
Q1 FY27E	*in millions, except where per share*						
Agents and Infra	**$75,706**	**$75,867**	**0.2%**	**$75,591**	**0.4%**	**75,150 - 75,750**	FX Impact of ~1pt headwind
% Y/Y	*22.8%*	*23.0%*	*26bps*	*22.6%*	*45bps*	21.9% - 22.8%	
% Y/Y CC	*23.3%*	*23.6%*	*26bps*	*23.3%*	*24bps*	20.9% - 21.8%	~50bps incremental FX tailwinds
Azure	$32,305	$32,416	0.3%	$32,287	0.4%		
Azure % Y/Y cc	***44.9%***	***45.4%***	*42bps*	*44.2%*	*112bps*	44% - 45%	
M365 Commercial Cloud % Y/Y cc	***16.0%***	***17.3%***	*132bps*	***15.9%***	***140bps***	**17% - 17%**	
M365 Copilot Seats (#M)	39	39	0.0%	-			
Devices and Consumer	**$14,997**	**$14,910**	**(0.6%)**	**$15,002**	**(0.6%)**	**14,700 - 15,200**	Minimal FX Impact
% Y/Y	*(6.3%)*	*(6.8%)*	*(55bps)*	*(6.2%)*	*(57bps)*	(8.1%) - (5.0%)	
Windows OEM + Devices % Y/Y cc	***(21.1%)***	***(22.2%)***	*(116bps)*	***(18.2%)***	***(402bps)***	-20% - -22%	
Total Revenue	**$90,704**	**$90,777**	0.1%	**$90,593**	0.2%	**89,850 - 90,950**	FX Impact of <1pt headwind
% Y/Y	*16.8%*	*16.9%*	*7bps*	*16.6%*	*24bps*	15.7% - 17.1%	
% Y/Y CC	*17.0%*	*17.2%*	*24bps*	*17.4%*	*(15bps)*	14.7% - 16.1%	
Cost of Revenue	$29,802	$29,753	(0.2%)	$29,716	0.1%	29,600-29,800	
Gross Profit	**$60,901**	**$61,024**	0.2%	**$60,884**	0.2%	60,250-61,150	Minimal FX Impact
% margin	*67.1%*	*67.2%*	*12bps*	*67.2%*	*2bps*	67.1%-67.2%	
Microsoft Cloud GM%	***64.6%***	***65.1%***	***50bps***	**-**		**~65%**	
Operating Expenses	$16,806	$16,815	0.1%	$16,834	(0.1%)	16,800-16,900	
Operating Income	**$44,095**	**$44,210**	0.3%	**$44,050**	0.4%	43,450-44,250	
% margin	*48.6%*	*48.7%*	*10bps*	*48.6%*	*8bps*	48.4%-48.7%	Implied OPM%
EPS - NON-GAAP Diluted	**$4.80**	**$4.81**	0.2%	**$4.73**	1.7%		Implied EPS based on OIE (100M) (ex-OAI), Tax rate ~20%
CapEx	$41,926	$41,926	0.0%	**$45,819**	(8.5%)		
Total CapEx (+ Cap Leases)	$51,000	$51,000	0.0%	**$51,699**	(1.4%)		CapEx expected to increase to over $50B
% Y/Y	*46.1%*	*46.1%*	*3bps*	*48%*	*(200bps)*		

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Source: Citi Research, Company Reports, FactSet, Visible Alpha

Figure 6. Estimate Changes into FY 2027

Financial Metrics	Citi (Before)	Citi (After)	Citi % Change	Consensus	Citi vs. Cons	Comments/Guidance:
FY2027E	*in millions, except where per share*					
Agents and Infra	**$332,729**	**$334,211**	**0.4%**	**$332,276**	**0.6%**	
% Y/Y	*24.1%*	*24.6%*	*55bps*	*23.9%*	*72bps*	
Azure	$149,106	$149,543	0.3%	$147,971	1.1%	
Azure % Y/Y cc	***46.3%***	***46.7%***	*43bps*	*45.2%*		Modest Acceleration in F1H27 vs 2H26
M365 Commercial Cloud % Y/Y cc	***15.0%***	***15.0%***	*0bps*	***13.6%***	***138bps***	Acceleration through the year
M365 Copilot Seats (#M)	67	71	4.8%	-		
Devices and Consumer	**$61,805**	**$60,778**	**(1.7%)**	**$61,765**	**(1.6%)**	
% Y/Y	*(3.0%)*	*(4.6%)*	*(161bps)*	*(3.1%)*	*(155bps)*	
Windows OEM + Devices % Y/Y cc	***(15.0%)***	***(16.2%)***	*(117bps)*	***(15.8%)***	***(41bps)***	Decline in high-teens
Total Revenue	**$394,534**	**$394,989**	0.1%	**$390,995**	1.0%	
% Y/Y	*18.9%*	*19.0%*	*13bps*	*17.8%*	*120bps*	DD% YoY cc
% Y/Y CC	*19.0%*	*19.3%*	*25bps*	-	-	
Cost of Revenue	$136,763	$133,375	(2.5%)	$132,093	1.0%	
Gross Profit	**$257,772**	**$261,613**	1.5%	**$258,016**	1.4%	
% margin	*65.3%*	*66.2%*	*93bps*	*66.0%*	*24bps*	
Operating Expenses	$75,873	$76,568	0.9%	$76,877	(0.4%)	Growth in mid to high single digits
% Y/Y	8.0%	*19.0%*	*1,103bps*	*9.4%*	*960bps*	
Operating Income	**$181,899**	**$185,045**	1.7%	**$181,139**	2.2%	
% margin	*46.1%*	*46.8%*	*75bps*	*46.3%*	*52bps*	Expected to be down less than a pt YoY
EPS - NON-GAAP Diluted	**$19.68**	**$20.00**	1.6%	**$19.59**	2.1%	
CapEx	**$206,301**	**$206,301**	0.0%	**$195,482**	5.5%	
Total CapEx (+ Cap Leases)	**$237,000**	**$237,000**	0.0%	**$220,677**	7.4%	CapEx to grow YoY
% Y/Y	*63.1%*	*63.1%*		**52%**	*1,123bps*	

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Source: Citi Research, Company Reports, FactSet, Visible Alpha

Figure 7. MSFT Quarterly Results Trend and Q1 FY'27 Estimates

$ in millions, except per share					Current Quarter					Typical Upside vs.	
	Q-4	Q-3	Q-2	Q-1	Citi	Cons.	Guidance	Within Expectations	Citi vs Cons.	Street	Guidance
	1QA	2QA	3QA	4QA	1QE	1QE			Δ		
Agents and Infra	$61,672	$64,441	$67,438	$74,576	$75,867	$37,847	75,150 - 75,750	***38,036 - 38,225***	$38,020	NM	NM
% growth y-o-y	*16.6%*	*15.9%*	*16.9%*	*14.3%*	*23.0%*	*14.3%*	*21.9% - 22.8%*	*-38% - -38%*	*872bps*		
% y-o-y growth acceleration	*0.9%*	*(0.7%)*	*1.0%*	*(2.6%)*	*8.7%*	*0.0%*					
% growth q-o-q	*(0.3%)*	*3.3%*	*2.6%*	*8.1%*	*0.0%*	*(49.3%)*					
M365 Commercial Cloud	$22,719	$23,563	$24,793	$25,758	$25,758	$24,267			$1,490		
% growth y-o-y	*16.0%*	*15.0%*	*15.0%*	*17.3%*	*13.4%*	*6.8%*			*656bps*		
Azure	$22,384	$24,129	$26,008	$29,417	$32,416	$32,287					
% growth y-o-y	*39.7%*	*39.2%*	*40.3%*	*42.0%*	*44.8%*	*41.8%*			*303bps*		
% cc growth y-o-y	***39.0%***	***38.0%***	***39.0%***	***42.0%***	***45.4%***	***42.8%***	***~44-45%cc***	***~46-47%cc***			
% beat / (miss)	***1.4%***	***0.6%***	***1.3%***	***4.0%***							
Devices and Consumer	$16,001	$16,832	$15,448	$15,431	$14,910	$15,002	14,700 - 15,200	*14,927 - 15,039*	($92)	NM	NM
% growth y-o-y	*5.9%*	*-0.2%*	*0.9%*	*-1.5%*	*(9.8%)*	*(4.4%)*	*(8%) - (5%)*	*-7% - -6%*	*(535bps)*		
% y-o-y growth acceleration	*5.9%*	*(6.1%)*	*1.1%*	*(2.4%)*	*(8.3%)*	*(3.0%)*					
Total Revenue	$77,673	$81,273	$82,886	$90,007	$90,777	$90,007	89,850 - 90,950	*91,357 - 92,257*	$770	2.1%	
% growth y-o-y	*18.4%*	*16.7%*	*18.3%*	*17.7%*	*16.9%*	*17.7%*	*15.7% - 17.1%*	*17.6% - 18.8%*	*(88bps)*		
% y-o-y growth acceleration	*0.3%*	*(1.7%)*	*1.6%*	*(0.6%)*	*(0.9%)*	*0.0%*					
% cc growth y-o-y	*16.9%*	*15.3%*	*15.3%*	*17.2%*	*17.2%*	*13.8%*					
% growth q-o-q	*1.6%*	*4.6%*	*2.0%*	*8.6%*	*0.9%*	*0.0%*					
% beat / (miss)	***2.9%***	***1.2%***	***1.8%***	***2.7%***							
Cost of Revenue	$24,043	$25,978	$26,828	$29,525	$29,753	$29,525					
Gross Profit	$53,630	$55,295	$56,058	$60,482	$61,024	$60,482	60,250-61,150	*60,815 - 61,994*	$542		
% margin	69.0%	68.0%	67.6%	67.2%	*67.2%*	*67.2%*	67.3%-67.5%	*~68%*	*3bps*		
% y-o-y margin expansion	*(84bps)*	*82bps*	*(73bps)*	*(113bps)*	*(182bps)*	*(185bps)*					
Operating Income	$37,961	$38,275	$38,398	$40,603	$44,210	$40,603	43,450-44,250		$3,607	5.2%	
% margin	*48.9%*	*47.1%*	*46.3%*	*45.1%*	*48.7%*	*45.1%*	45.8%-46.1%	*~46%*	*359bps*		
% y-o-y margin expansion	*421bps*	*409bps*	*507bps*	*552bps*	*(17bps)*	*(376bps)*					
EPS - Diluted NON-GAAP	$4.13	$4.14	$4.27	$4.81	$4.81	$4.74			$0.07	7.6%	
FCF	$28,953	($495)	$15,042	$16,842	$1,207	$19,639			($18,432)		
% margin	*37.3%*	*-0.6%*	*18.1%*	*18.7%*	*1.3%*	*21.8%*			*(2,049bps)*		-

Note: We note expectations for items in the report we expect to be most significant in moving the stock on earnings

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Source: Citi Research, Company Reports, FactSet, Visible Alpha

Figure 8. MSFT Q2 FY'27 Guidance and FY'27 Set-Up

$ in millions, except per share	Next Quarter				Full Year			
	Citi	Cons.	Expectations	Citi vs Cons.	Year-Ago	Citi	Cons.	Citi vs Cons.
	2QE	2QE		Δ	FY2026A	FY2027E	FY2027E	Δ
Agents and Infra	$79,945	$79,569	***79,768 - 80,365***	$375	$268,127	$334,211	$332,276	$1,935
% growth y-o-y	*24.1%*	*23.5%*	*24% - 25%*	*58bps*	*22.6%*	*24.6%*	*23.9%*	*72bps*
% y-o-y growth acceleration	*1.0%*	*9.2%*						
M365 Commercial Cloud	$26,904	$24,925		$1,979	$93,097	$110,262	$117,842	($7,580)
% growth y-o-y	*14.2%*	*5.8%*		*840bps*	*17.9%*	*18.4%*	*26.6%*	*(814bps)*
Azure	$35,290	$35,041			$101,938	$149,543	$147,470	
% growth y-o-y	*46.3%*	*44.9%*		*131bps*	*40.4%*	*46.7%*	*40.4%*	*627bps*
% cc growth y-o-y	***46.3%***	***45.1%***	***45-46% cc***		***39.6%***	***46.9%***	***44.6%***	*233bps*
Devices and Consumer	$15,814	$15,811	***15,495 - 15,653***	$3	$63,712	$60,778	$61,765	($986)
% growth y-o-y	*-8.9%*	*-6.1%*	*-8% - -7%*	*(286bps)*	*1.2%*	*-7.1%*	*-3.1%*	*(406bps)*
% y-o-y growth acceleration	*0.9%*	*(1.6%)*						
Total Revenue	$95,759	$95,570	***95,092 - 96,048***	$189	$331,839	$394,989	$390,995	$3,994
% growth y-o-y	*17.8%*	*17.6%*	*17% - 18%*	*23bps*	*17.8%*	*19.0%*	*15.1%*	*390bps*
% y-o-y growth acceleration	*1.0%*	*(0.2%)*						
% cc growth y-o-y	*17.8%*	*13.1%*				19.3%	14.5%	
Cost of Revenue	$32,257	$32,339			$106,374	$133,375	$132,979	
Gross Profit	$63,502	$63,231	*62,599 - 63,231*	$271	$225,465	$261,613	$258,016	$3,597
% margin	*66.3%*	*66.2%*	*~66%*	*15bps*	*67.9%*	*66.2%*	*66.0%*	*24bps*
% y-o-y margin expansion	*(172bps)*	*(187bps)*				*(171bps)*	*(195bps)*	
Operating Income	$45,363	$44,677		$686	$155,237	$185,045	$181,139	$3,906
% margin	*47.4%*	*46.7%*	*46-47%*	*62bps*	*46.8%*	*46.8%*	*46.3%*	*52bps*
% y-o-y margin expansion	*28bps*	*(35bps)*				*7bps*	*(45bps)*	
EPS - Diluted NON-GAAP	$4.91	$4.84		$0.07	$17.34	$20.00	$19.59	$0.41
FCF	($2,062)	($729)		($1,333)	$60,342	$18,482	$28,744	($10,262)
% margin	*-2.2%*	*-0.8%*		*(139bps)*	*18.2%*	*4.7%*	*7.4%*	*(267bps)*

Note: We note expectations for items in the report we expect to be most significant in moving the stock on earnings

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Source: Citi Research, Company Reports, FactSet, Visible Alpha

Figure 9. Full Year Estimate Changes Citi vs. Consensus

$ in millions, except where per share	Citi Current			10/13/26 Consensus			Δ vs. 10/13/26 Consensus		
	FY2027E	FY2028E	FY2029E	FY2027E	FY2028E	FY2029E	FY2027E	FY2028E	FY2029E
Agents and Infra	$333,292	$425,911	$553,386	$332,276	$408,278	$517,474	$1,016	$17,633	$35,912
% growth y-o-y	*24.3%*	*27.8%*	*29.9%*	*23.9%*	*22.9%*	*26.7%*	*38bps*	*492bps*	*318bps*
M365 Commercial Cloud	$109,343	$130,392	$156,888	$117,842	$136,112	$158,496	($8,499)	($5,720)	($1,608)
% growth y-o-y	*17.5%*	*19.3%*	*20.3%*	*16.8%*	*14.8%*	*13.3%*	*61bps*	*448bps*	*707bps*
Azure	$221,050	$322,485	$464,505	$147,971	$205,724	$291,586	$73,080	$116,762	$172,919
% growth y-o-y	*47.8%*	*45.9%*	*44.0%*	*44.6%*	*39.8%*	*36.8%*	*323bps*	*607bps*	*728bps*
Devices and Consumer	$63,887	$68,413	$73,606	$61,765	$63,307	$63,270	$2,122	$5,107	$10,336
% growth y-o-y	*3.4%*	*7.1%*	*7.6%*	*(0.1%)*	*2.5%*	*(0.1%)*	*343bps*	*459bps*	*765bps*
Windows & Devices	$14,964	$15,165	$15,764	$14,366	$14,163	$14,103	$597	$1,003	$1,660
% growth y-o-y	*(12.4%)*	*1.3%*	*3.9%*	*(15.8%)*	*(1.4%)*	*(0.4%)*	*334bps*	*277bps*	*436bps*
Total Revenue	**$395,097**	**$489,797**	**$621,799**	**$390,995**	**$465,675**	**$563,055**	**$4,102**	**$24,122**	**$58,744**
% growth y-o-y	*19.1%*	*24.0%*	*27.0%*	*19.1%*	*19.1%*	*20.9%*	*(8bps)*	*487bps*	*604bps*
Cost of Revenue	$133,743	$177,519	$234,136	$132,093	$162,277	$192,447	$1,650	$15,242	$41,689
% of revenue	*33.9%*	*36.2%*	*37.7%*	*33.8%*	*34.8%*	*34.2%*	*7bps*	*140bps*	*348bps*
Gross Profit	**$261,354**	**$312,278**	**$387,663**	**$258,016**	**$302,247**	**$358,376**	**$3,338**	**$10,031**	**$29,287**
% growth y-o-y	*15.9%*	*19.5%*	*24.1%*	*14.4%*	*17.1%*	*18.6%*	*148bps*	*234bps*	*557bps*
% margin	*66.1%*	*63.8%*	*62.3%*	*66.0%*	*64.9%*	*63.6%*	*16bps*	*(115bps)*	*(130bps)*
Research and Development	$39,016	$45,045	$55,286	$39,849	$46,500	$53,357	($833)	($1,455)	$1,929
% of revenue	*9.9%*	*9.2%*	*8.9%*	*10.2%*	*10.0%*	*9.5%*	*(32bps)*	*(79bps)*	*(59bps)*
Sales and Marketing	$29,085	$33,616	$39,572	$28,612	$32,645	$40,018	$473	$971	($446)
% of revenue	*7.4%*	*6.9%*	*6.4%*	*7.3%*	*7.0%*	*7.1%*	*4bps*	*(15bps)*	*(74bps)*
General and Administrative	$8,488	$9,301	$10,254	$8,360	$9,167	$11,047	$129	$134	($793)
% of revenue	*2.1%*	*1.9%*	*1.6%*	*2.1%*	*2.0%*	*2.0%*	*1bps*	*(7bps)*	*(31bps)*
Operating Expenses	**$76,589**	**$87,961**	**$105,112**	**$76,877**	**$87,124**	**$98,193**	**($288)**	**$838**	**$6,919**
% growth y-o-y	*9.1%*	*14.8%*	*19.5%*	*9.5%*	*13.3%*	*12.7%*	*(41bps)*	*152bps*	*679bps*
% of revenue	*19.4%*	*18.0%*	*16.9%*	*19.7%*	*18.7%*	*17.4%*	*(28bps)*	*(75bps)*	*(53bps)*
Operating Income	**$184,765**	**$224,317**	**$282,551**	**$181,139**	**$215,124**	**$260,184**	**$3,626**	**$9,194**	**$22,368**
% growth y-o-y	*19.0%*	*21.4%*	*26.0%*	*16.7%*	*18.8%*	*20.9%*	*234bps*	*264bps*	*501bps*
% margin	*46.8%*	*45.8%*	*45.4%*	*46.3%*	*46.2%*	*46.2%*	*44bps*	*(40bps)*	*(77bps)*
Total Non-Operating Income (Expense), Net	($1,360)	($2,918)	($3,089)	$1,084	$2,271	$6,489	($2,444)	($5,190)	($9,578)
Income Before Income Taxes	**$183,406**	**$221,399**	**$279,462**	**$182,223**	**$217,395**	**$266,672**	**$1,183**	**$4,004**	**$12,790**
% margin	*46.4%*	*45.2%*	*44.9%*	*46.6%*	*46.7%*	*47.4%*	*(18bps)*	*(148bps)*	*(242bps)*
Provision for Income Taxes	$34,865	$43,163	$56,052	$36,444	$43,492	$56,684	($1,579)	($329)	($632)
% tax rate	*19.0%*	*19.5%*	*20.1%*	*20.0%*	*20.0%*	*21.3%*	*(99bps)*	*(51bps)*	*(120bps)*
Net Income	**$148,540**	**$178,236**	**$223,409**	**$145,779**	**$173,903**	**$209,988**	**$2,761**	**$4,333**	**$13,422**
% margin	*37.6%*	*36.4%*	*35.9%*	*37.3%*	*37.3%*	*37.3%*	*31bps*	*(95bps)*	*(136bps)*
EPS - Diluted (Non-GAAP)	**$19.97**	**$23.97**	**$30.05**	**$19.59**	**$23.51**	**$28.62**	**$0.38**	**$0.46**	**$1.43**
% growth y-o-y	*15.2%*	*20.0%*	*25.3%*	*13.3%*	*20.0%*	*21.7%*	*181bps*	*1bps*	*361bps*

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Source: Citi Research, Company Reports, FactSet, Visible Alpha

Citi Raised CY26/CY27 PC Model Forecasts

Citi updated PC forecasts for CY26 / CY27 with higher volume than expected this Q with an uptick in overall volume, but expect a MSD decline YoY in CY27. Both the Consumer and Commercial PC are expected to improve slightly following the DD% decline of in CY26. We expect to see some tailwinds from Windows 11 transitions and AI PC model refresh could help offset some weakness and provide a slight tailwind to MPC growth. We note the guidance was conservative with expectations of high-teens decline in Windows OEM revenue, following higher inventory build in recent Qs.

Figure 10. Citi's PC Shipment Estimate Changes

Citi PC Model	*CY 2026E*			*CY 2027E*		
(Million Units)	**Prior**	**Current**	**% Change**	**Prior**	**Current**	**% Change**
Total Consumer PC	114	119	4.4%	114	115	0.9%
% growth Y/Y	*(16.7%)*	*(13.1%)*		*(0.7%)*	*(4.0%)*	
Total Commercial PC	129	135	4.6%	129	131	1.6%
% growth Y/Y	*(14.5%)*	*(10.5%)*		*(0.2%)*	*(3.2%)*	
Total PCs	**244**	**255**	**4.5%**	**242.47**	**245.47**	**1.2%**
% growth Y/Y	*(15.6%)*	*(11.8%)*		*(0.5%)*	*(3.6%)*	

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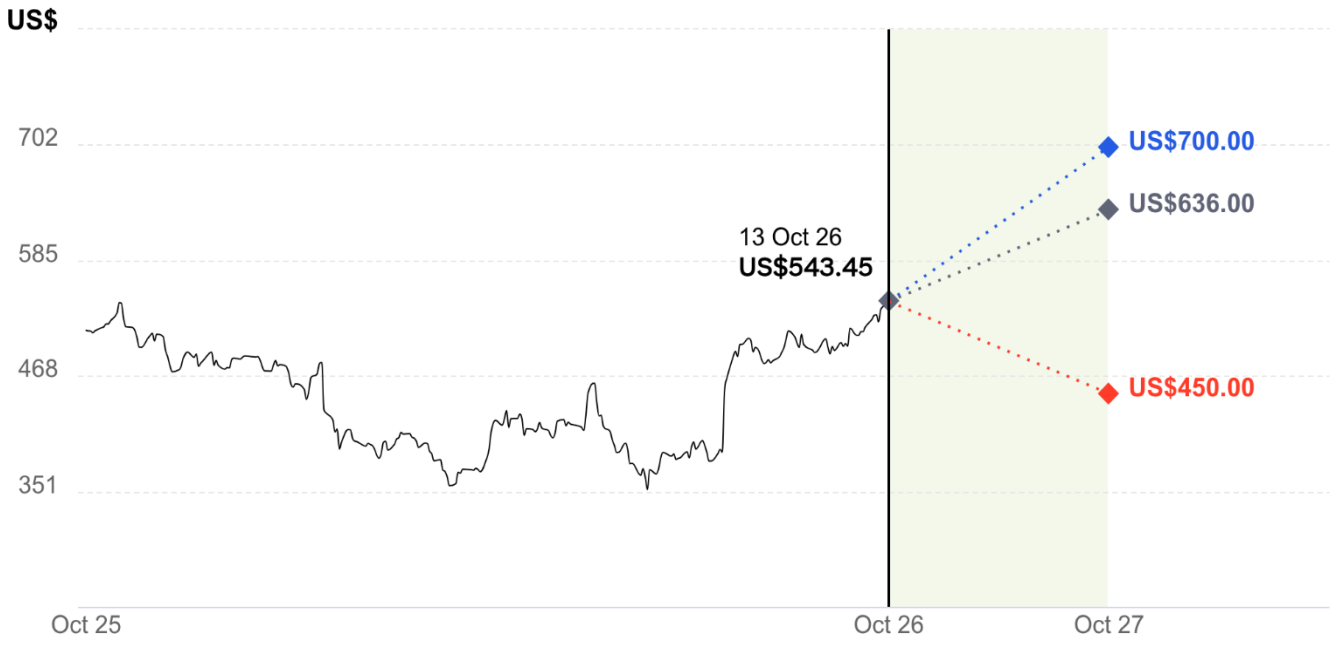
Source: Citi Research, IDC

Bull/Bear: Microsoft Corp. (MSFT.O)

US$ 700.00 ▲29% Upside

US$ 636.00 ▲17% Upside

US$ 450.00 ▼17% Downside



Spread 46pp
Current Price and expected returns (upside/downside) as of 13 Oct 2026

BULL Assumptions

- 50bps decrease in Operating Expenditure growth vs. Base Case
- 50bps increase in Commercial Cloud Gross Margin vs. Base Case
- 50bps increase in PBP and IC growth vs. Base Case

BASE Assumptions

- Base Case is reflective of our underlying financial model

BEAR Assumptions

- 100pts increase in Operating Expenditure growth vs. Base Case
- 100pts decrease in Commercial Cloud Gross Margin vs. Base Case
- 100pts decrease in PBP, MPC and IC growth vs. Base Case

Microsoft Corp.

Company description

Microsoft is the world's largest software company, with more than $280 billion in annual revenue spanning enterprise and consumer markets. The company is best known for its Windows operating system, Microsoft 365 productivity suite, and broad portfolio of business applications. Microsoft also operates a leading gaming ecosystem through Xbox. Growth is increasingly driven by Azure, one of the world's largest cloud platforms, alongside a rapidly expanding portfolio of AI offerings, including Microsoft 365 Copilot, GitHub, AI and Security Suite. Key growth drivers include cloud migration, AI infrastructure demand, and the adoption of agentic AI solutions across Microsoft's vast installed base of enterprise and consumer users.

Investment strategy

We maintain our Buy rating on Microsoft, supported by our view that cloud and AI-related revenue streams can sustain double-digit growth while supporting operating leverage. In Azure, we see AI as an incremental demand driver, with the emergence of AI agents likely to increase compute consumption and expand enterprise adoption of Microsoft's cloud platform. We expect Azure AI Foundry, Copilot Studio, and related AI services to strengthen Microsoft's competitive position and contribute to higher cloud workloads over time. In Productivity and Business Processes, Microsoft 365 Copilot and other AI-enabled features should support greater customer engagement and improve the value proposition of the Office ecosystem. We also expect continued Microsoft 365 ARPU expansion through further migration to higher-value E5 and E7 licenses, increased Copilot penetration, and the benefit of recent Microsoft 365 pricing changes. Overall, we believe Microsoft's ability to monetize AI across both infrastructure and applications supports a favorable growth outlook.

Valuation

Our $636 one-year target price for Microsoft is based on ~23x PE multiple to our FY29 GAAP EPS of $30.16, which we discount back to a year forward using ~12% cost of equity. We see the EPS multiple as a better valuation metric due to the more stable earnings growth for a mature company like MSFT and the ramp in near-term CapEx that result in a more volatile FCF.

Risks

We see potential downside risks to achieving our target price to be:

• The aggressive ramp in CAPEX investment in midst of the ongoing build out of AI capabilities could hurt longer term trajectory if AI adoptions are slower than expected.
• Competition in the hyperscale cloud market, requiring MSFT to aggressively invest here vs. AMZN's AWS and GOOGL's GCP and potentially fast deceleration in key Azure trajectory.
• A larger acquisition that drives earnings dilution in the nearer term.

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Appendix A-1

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IMPORTANT DISCLOSURES

Microsoft Corp. (MSFT)

Ratings and Target Price History
Fundamental Research

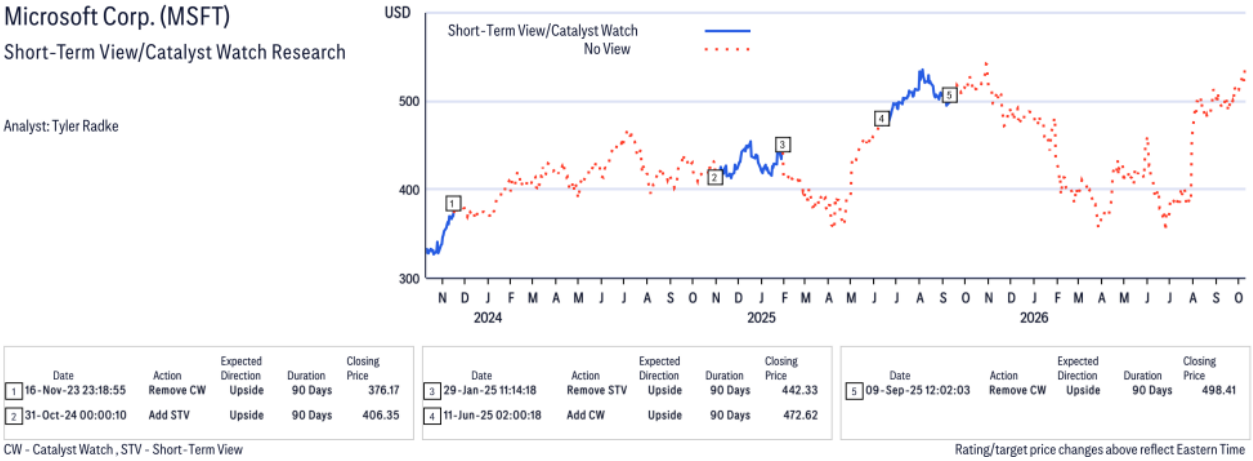
Analyst: Tyler Radke



	Date	Rating	Target Price	Closing Price
1	19-Oct-23 03:09:54	1	*430.00	331.32
2	25-Oct-23 11:53:13	1	*432.00	340.67
3	24-Jan-24 04:37:03	1	*470.00	402.56
4	31-Jan-24 04:45:50	1	*480.00	397.58
5	18-Apr-24 03:56:23	1	*475.00	404.27
6	26-Apr-24 02:55:25	1	*495.00	406.32
7	20-Jun-24 22:14:02	1	*520.00	445.70
8	31-Jul-24 03:28:04	1	*500.00	418.35
9	23-Oct-24 05:32:01	1	*497.00	424.60
10	17-Apr-25 07:29:30	1	*480.00	367.78
11	15-May-25 04:04:19	1	*540.00	453.13
12	11-Jun-25 06:00:18	1	*605.00	472.62
13	22-Jul-25 06:13:39	1	*613.00	505.27
14	31-Jul-25 05:26:20	1	*680.00	533.50
15	21-Oct-25 21:28:14	1	*682.00	517.66
16	30-Oct-25 04:29:33	1	*690.00	525.76
17	21-Jan-26 07:28:07	1	*660.00	444.11
18	29-Jan-26 05:17:03	1	*635.00	433.50
19	21-Apr-26 03:33:50	1	*600.00	424.16
20	30-Apr-26 04:58:49	1	*620.00	407.78
21	15-Jul-26 05:44:43	1	*570.00	395.63
22	30-Jul-26 05:10:50	1	*600.00	451.10

*Indicates Change

Rating/target price changes above reflect Eastern Time



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	12 Month Rating			Catalyst Watch		
Data current as of 01 Oct 2026	**Buy**	**Hold**	**Sell**	**Buy**	**Hold**	**Sell**
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%

% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

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